OFFERING MEMORANDUM

Ridgeline Manor | Dallas, TX

Property	Ridgeline Manor
Location	7944 Airport Drive, Dallas, TX 64569
Property Type	Senior Housing
Size	64 units
Year Built	1962
Offering	Unpriced - Offers Due November 26, 2023

Investor Distributions

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Occupancy stands at 94.1% with an average resident length of stay of 6 years. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Occupancy stands at 94.0% with an average resident length of stay of 5 years. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 4.5% on contributed capital. The community provides assisted living and memory care services under a state-issued license with 19 full-time caregivers per shift.

Market Overview

The community provides assisted living and memory care services under a state-issued license with 26 full-time caregivers per shift. The Dallas Senior Housing market has experienced absorption of 300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care.

Rent growth in the submarket has averaged 5.0% annually over the past 6 years. Dining, housekeeping, transportation and activities programming are included in the base fee. Median household income within a 1-mile radius of the property is approximately $19,000 and has grown 13.7% annually. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care.

Business Plan Progress

The community provides assisted living and memory care services under a state-issued license with 4 full-time caregivers per shift. Occupancy stands at 89.6% with an average resident length of stay of 3 years. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Distributions to investors for the quarter were paid at an annualized rate of 5.7% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Occupancy stands at 89.0% with an average resident length of stay of 11 years. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns.

Market Overview

Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Senior Housing product stands at 2.7%, down from 6.4% two years ago. Rent growth in the submarket has averaged 4.1% annually over the past 3 years. The Dallas Senior Housing market has experienced absorption of 3700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 2-mile radius of the property is approximately $211,000 and has grown 7.8% annually. Ridgeline Manor is located in Dallas, TX, a market that has recorded 5.0% population growth over the last five years.

Investor demand for Senior Housing assets in Dallas remains strong with recent trades at capitalization rates between 6.12% and 6.12%. Rent growth in the submarket has averaged 3.8% annually over the past 4 years. Median household income within a 5-mile radius of the property is approximately $292,000 and has grown 14.0% annually. Dining, housekeeping, transportation and activities programming are included in the base fee.

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Disclaimer and Confidentiality

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of TX. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. This document relates solely to Ridgeline Manor and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Ridgeline Manor and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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Time is of the essence with respect to each and every provision of this instrument. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of TX. This document relates solely to Ridgeline Manor and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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